STRATEGIC BRIEFING

Executive Summary: Capacity Bottlenecks & Strategic Resource Allocation

Karib Shams | 01797470717
Delivery - On The Go | Slide 1 of 8

BDT 175,200 vs BDT 70,000
BLANKET HIRING OVERSPENDS BUDGET BY 2.5X

1. The Management Dilemma

- Challenge: Week 2 delivery attempts surged +21.9% citywide, and 4-week forecast projects sustained high demand (~13.6k attempts/week).
- Hub Manager Request: Blanket hiring approval for 8 new delivery agents across overloaded hubs.
- Budget Reality: Hiring 8 agents costs BDT 175,200 (BDT 40k fees + BDT 135.2k fixed salary), exceeding Finance's BDT 70,000 budget by 2.5x.
- Rookie Speed Lag: New hires operate at only 60% speed in week 1, offering zero immediate relief to ongoing congestion.

3 of 6 Hubs Overloaded
RIVERSIDE & BROOKSIDE DRIVE ARTIFICIAL VOLUME

2. Key Forensic Revelations

- Asymmetric Overload: Only 3 of 6 hubs exceed 85% target in W2: Greenfield (88.6%), Riverside (90.8%), Hillcrest (95.9%).
- Artificial Load at Riverside (H03): 64.4% of holds (563 holds) are agent-side failures (Late Dispatch, Not Attempted), inflating attempts to 1.39x of orders.
- Intra-Cluster Mismatch (Cluster A): Lakeview operates at 56.2% utilisation (<75% threshold), holding 4 surplus agents next to Greenfield.
- Return Outliers at Brookside (H05): 3 senior agents cause 56.2% of hub returns (BDT 14,135 penalties).

BDT 65,698 (+110.2% ROI)
BALANCED NETWORK WITHIN BDT 70,000 BUDGET

3. Recommended Strategic Action

- REJECT blanket 8 hires. Approve targeted 2-agent recruitment only at Hillcrest (H04).
- TRANSFER 2 agents from Lakeview (H02) to Greenfield (H01) in Cluster A (BDT 4,000).
- DEPLOY Hold Reduction Programme at Riverside (H03) for BDT 15,000, eliminating ~282 holds/wk.
- RETRAIN 3 senior agents at Brookside (H05) to eliminate return penalties.
- Total Spend: BDT 65,698 (Under BDT 70k limit).
- Projected Net ROI: +110.2% on total capital deployed.

Hub Utilisation Diagnostic: Identifying True Network Capacity Gaps

Karib Shams | 01797470717
Delivery - On The Go | Slide 2 of 8

95.9% Peak Utilisation
HILLCREST, RIVERSIDE & GREENFIELD OVERLOADED

Week 1 vs Week 2 Utilisation Breakdown

• Policy Standard: 40 attempts/agent/day (280/wk). Target = 85.0% utilisation (34 attempts/day, 238/wk).

• Overloaded Hubs in Week 2 (> 85% Planning Threshold):

• • Hillcrest (H04): 95.87% (2,416 attempts / 9 agents) - Severely strained, +24.3% growth.

• • Riverside (H03): 90.80% (3,051 attempts / 12 agents) - Heavy congestion, +33.8% growth.

• • Greenfield (H01): 88.64% (2,482 attempts / 10 agents) - Capacity deficit post agent departure.

• Underutilised & Donor Hubs (< 75% Mobility Rule):

• • Lakeview (H02): 56.17% (1,730 attempts / 11 agents) - 4 surplus agents available in Cluster A!

• • Brookside (H05): 71.49% (2,202 attempts / 11 agents) - Under capacity threshold in Cluster C.

• • Westwood (H06): 80.36% (2,025 attempts / 9 agents) - Perfectly balanced baseline.

Cluster A Transfer Fix
LAKEVIEW HAS 4 SURPLUS AGENTS TO BALANCE GREENFIELD

Strategic Cluster Balancing Insights

• Cluster A Internal Balancing Opportunity: Lakeview (H02) at 56.17% sits directly adjacent to Greenfield (H01) at 88.64%. Transferring 2 agents drops H01 utilisation to 73.9% and raises H02 to 68.6%. Both hubs operate perfectly within the 60–80% healthy zone.

• Cluster B Structural Bottleneck: Both hubs in Cluster B are overloaded: H03 (90.8%) and H04 (95.9%). No internal donor hub exists. However, root causes are opposite: H03 suffers internal dispatch failures, while H04 experiences genuine organic commercial growth.

• Impact of Inactive Agents: 2 agents left at end of Week 1 (A1011 at H01, A1064 at H06). This reduced Greenfield's capacity by 280 attempts/wk, making transfer relief essential.

Root Cause Analysis: Why Adding Headcount Alone Treats Symptoms

Karib Shams | 01797470717
Delivery - On The Go | Slide 3 of 8

64.4% Agent-Side Holds

563 HOLDS/WEEK AT RIVERSIDE ARE INTERNALLY INDUCED

Riverside (H03): Dispatch Failures Inflate Load

• Enormous Hold Volume: 874 holds in Week 2 alone (50.8% of citywide total).

• Agent-Side Hold Dominance: 64.42% (563 holds) are caused by internal operational breakdowns:

• • Late Dispatch: 312 holds (35.7% of all H03 holds). Morning sorting bottlenecks delay departures.

• • Not Attempted: 132 holds (15.1%). Cascading delays preventing delivery execution.

• • Agent Time Shortage: 119 holds (13.6%). Agents running out of working hours in transit.

• The Vicious Recycling Cycle: Every hold forces a mandatory next-day re-attempt. This inflates attempts to 1.39x of orders, creating phantom workload.

• Targeted Solution: Deploy Hold Reduction Programme (BDT 15,000) to cut agent-side holds by 50% (~282 attempts/wk), stabilizing operations.

56.2% Return Concentration

3 SENIOR AGENTS AT BROOKSIDE DRIVE BDT 14.1K PENALTIES

Brookside (H05): Senior High-Return Outliers

• High-Return Identification (Q5 Criteria): Tenure > 30 days on Oct 26, 2026 AND Return Ratio > 15.0%.

• Disproportionate Outlier Concentration at Brookside:

• • A1045 (Belis Rowntree): 463d tenure, 26.93% return ratio (94 returns).

• • A1046 (Coris Halvorsen): 647d tenure, 21.98% return ratio (91 returns).

• • A1047 (Wenian Vantell): 526d tenure, 17.43% return ratio (72 returns).

• Severe Cost Impact: Just these 3 senior agents generated 257 returns (56.2% of Brookside's total returns!), draining BDT 14,135 in return penalties.

• Management Action: Institute mandatory supervisor customer call verification before logging Return status + route quality retraining. Zero hiring needed.

Unit Economics: Dissecting Labor Costs and Penalty Erosion

Karib Shams | 01797470717
Delivery - On The Go | Slide 4 of 8

BDT 26.56 to BDT 45.67
WIDE UNIT COST VARIANCE DRIVEN BY PENALTIES

Cost per Delivered Order Progression (W1 vs W2)

• Greenfield (H01): W1 BDT 33.08 -> W2 BDT 26.56 (-19.7%). Economies of scale as deliveries expanded from 1,698 to 2,210.

• Lakeview (H02): W1 BDT 36.41 -> W2 BDT 36.16 (-0.7%). High fixed labor cost burden on depressed volume (1,532 deliveries).

• Riverside (H03): W1 BDT 52.36 -> W2 BDT 45.67 (-12.8%). Highest unit cost in the network due to catastrophic penalty erosion.

• Hillcrest (H04): W1 BDT 30.79 -> W2 BDT 27.62 (-10.3%). Highly productive variable workforce achieving 30.9 deliveries/agent-day.

• Brookside (H05): W1 BDT 38.85 -> W2 BDT 37.33 (-3.9%). Inflated by heavy return penalties (BDT 12,980 in Week 2).

• Westwood (H06): W1 BDT 29.97 -> W2 BDT 27.07 (-9.7%). Lean, balanced, efficient operations.

40.9% of Budget is Penalties
RIVERSIDE LOST BDT 37,000 TO PENALTIES IN WEEK 2

The Penalty Drain: The Case of Riverside

• Staggering Penalty Bleed at Riverside (H03): In Week 2, Riverside incurred BDT 90,482 in total operating costs.

• Itemized Cost Breakdown:

• • Fixed & Variable Labor Pay: BDT 53,482 (59.1%)

• • Hold Penalties (874 * BDT 30): BDT 26,220 (29.0%)

• • Return Penalties (196 * BDT 55): BDT 10,780 (11.9%)

• Executive Takeaway: Penalty fees represented 40.9% (BDT 37,000) of Riverside's total operating expenditure in Week 2 alone!

• Margin Erosion: Penalties added BDT 18.68 to every delivered order at Riverside. Without penalties, H03 unit cost would be BDT 27.00.

• Remediation ROI: Eliminating operational penalties yields instantaneous cash recovery.

4-Week Volume Forecast: Baseline Demand vs Attempt-Adjusted Gaps

Karib Shams | 01797470717
Delivery - On The Go | Slide 5 of 8

12,495 Weekly Orders
ORDER VOLUME ACCELERATES CITYWIDE IN FORECAST

Forecast Order Volume Dynamics (Oct 27 – Nov 23)

• Period: 4 weeks (28 operating days, 7 days/week).

• Planning Capacity: 238 attempts / agent / week (40 attempts * 7 days * 0.85).

• Baseline Model (Expected Orders / 238):

• • Greenfield (H01): ~2,520 orders -> Needs 11 agents (Staffing Gap: +1 vs 10 active).

• • Lakeview (H02): ~1,575 orders -> Needs 7 agents (Surplus: -4 vs 11 active).

• • Riverside (H03): ~2,211 orders -> Needs 10 agents (Surplus: -2 vs 12 active!).

• • Hillcrest (H04): ~2,310 orders -> Needs 10 agents (Staffing Gap: +1 vs 9 active).

• • Brookside (H05): ~1,995 orders -> Needs 9 agents (Surplus: -2 vs 11 active).

• • Westwood (H06): ~1,890 orders -> Needs 8-9 agents (Balanced vs 9 active).

• The Baseline Trap: Pure order math shows Riverside has a surplus of 2 agents, completely masking its hold-driven operational breakdown!

1.07x to 1.35x Multipliers
REAL WORKLOAD CREATES A +2 TO +3 NET NETWORK GAP

Adjusted Model (Real Operational Load)

• Real Operational Load = Expected Orders * Historical Attempt Multiplier:

• • Greenfield (1.073x mult): Peak attempts 2,758 -> Needs 12 agents (Gap: +2).

• • Lakeview (1.073x mult): Peak attempts 1,723 -> Needs 8 agents (Surplus: -3).

• • Riverside (1.351x mult): Peak attempts 3,033 -> Needs 13 agents (Gap: +1).

• • Hillcrest (1.078x mult): Peak attempts 2,539 -> Needs 11 agents (Gap: +2).

• • Brookside (1.085x mult): Peak attempts 2,207 -> Needs 10 agents (Surplus: -1).

• • Westwood (1.067x mult): Peak attempts 2,058 -> Needs 9 agents (Balanced).

• The Decisive Finding: Networkwide staffing gap is only +2 to +3 agents, but capacity is heavily misallocated.

• Inter-Cluster Transfer Solution: Transferring 2 agents solves Greenfield immediately without new headcount.

Strategic Decision Architecture: Hub-by-Hub Evaluation of the 8-Agent Request

Karib Shams | 01797470717
Delivery - On The Go | Slide 6 of 8

REJECT HIRING / TRANSFER 2

CLUSTER A: BDT 4,000 TOTAL COST

Cluster A: Greenfield & Lakeview

• Request: Hire 2 new agents for Greenfield (H01).

• Verdict: REJECT HIRING. APPROVE 2 INTERNAL TRANSFERS from Lakeview (H02).

• Rationale: Lakeview utilisation is 56.2% (eligible donor <75%). H02 has 11 agents and only needs 7-8.

• Cost: BDT 4,000 (2 * BDT 2,000 transfer fee).

• Operational Advantage: Zero added payroll overhead; transferred agents operate at 100% speed on Day 1 (avoids 60% rookie penalty).

REMEDIATE H03 / HIRE 2 AT H04

CLUSTER B: TARGETED CAPACITY INJECTION

Cluster B: Riverside & Hillcrest

• Riverside (H03) Request: Hire 3 agents. Verdict: REJECT HIRING. DEPLOY HOLD REDUCTION PROGRAMME (BDT 15,000). Rationale: 64.4% agent-side holds. Cutting 50% removes ~282 attempts/wk, reducing staff need to 11.6 (already has 12 active!).

• Hillcrest (H04) Request: Hire 2 agents. Verdict: APPROVE TARGETED HIRING OF 2 AGENTS (1 Fixed + 1 Variable, BDT 46,698 total). Rationale: 95.9% util, clean operations (only 21.9% agent holds), high speed (30.9 deliv/day), no donor in cluster.

REJECT HIRING / COACH OUTLIERS

CLUSTER C: QUALITY AUDITS RESOLVE DEFICIT

Cluster C: Brookside & Westwood

• Brookside (H05) Request: Hire 1 agent. Verdict: REJECT HIRING. INSTITUTE SUPERVISOR CALL AUDITS. Rationale: 71.5% util (<75%). 11 active agents already exceed 9-10 needed. 3 senior agents cause 56.2% of returns. Retraining solves root issue.

• Westwood (H06) Request: Hire 0-1 agents. Verdict: REJECT HIRING. MAINTAIN 9 ACTIVE AGENTS. Rationale: 80.4% util, exactly matches forecast demand of ~1,890 orders/week (needs 8.5 agents). Balanced operation.

Capital Allocation & Financial ROI: Maximizing Impact of BDT 70,000

Karib Shams | 01797470717

BDT 65,698 Allocated

STRICTLY WITHIN THE BDT 70,000 FINANCE ENVELOPE

Itemized BDT 70,000 Budget Breakdown

• 1. Intra-Cluster Transfers: Lakeview -> Greenfield (2 Agents) = BDT 4,000 (One-Time Transfer)

• 2. Hold Reduction Programme at Riverside (H03) = BDT 15,000 (Operational Remediation)

• 3. Recruitment & Onboarding Fees at Hillcrest (H04) = BDT 10,000 (One-Time Onboarding)

• 4. Fixed Agent Month-1 Salary (1 Agent at H04) = BDT 16,900 (Fixed Payroll)

• 5. Variable Agent Month-1 Pay (1 Agent at H04) = BDT 19,798 (Variable Payroll)

• 6. Operational Contingency Reserve = BDT 4,302 (Unallocated Reserve)

• ----------

• TOTAL EXPENDITURE: BDT 65,698 (BDT 4,302 Under BDT 70,000 Limit)

+110.2% Net ROI

BDT 35.7K CASH SAVINGS + BDT 111.5K REVENUE PRESERVED

Direct Payback & Value Creation Dynamics

• Hold Penalty Savings at Riverside (H03): Removes ~282 holds/wk @ BDT 30. Accounting for 14-day ramp (W1: 25%, W2: 35%, W3-4: 50%): Total 4-Week Hold Penalty Savings = BDT 27,060.

• Return Penalty Savings at Brookside (H05): Coaching 3 senior agents saves ~157 returns = BDT 8,635.

• Rapid Cash Cost Payback: BDT 35,695 in direct penalty savings pays back 54.3% of the entire investment in Month 1!

• Revenue Preservation: 2 new hires at H04 protect ~1,714 deliveries * BDT 65.03 delivery charge = BDT 111,461 in customer revenue.

• Net Financial Benefit: BDT 147,156 total quantifiable value.

• Net Financial ROI: +110.2% on total capital deployed!

Execution Roadmap & Early-Warning Monitoring Framework

Karib Shams | 01797470717

30-Day Execution Plan

IMMEDIATE DEPLOYMENT WITH ZERO SERVICE DISRUPTION

30-Day Phased Implementation Timeline

• Days 1–3 (Immediate Deployment): Execute 2 agent transfers from Lakeview to Greenfield; sign vendor contract and initiate Hold Reduction Programme at Riverside; complete recruitment screening and onboard 2 new agents at Hillcrest.

• Days 4–10 (Initial Ramp & Shadowing): Hillcrest new hires shadow senior couriers at 60% speed (24 attempts/day); morning sorting dispatch audit initiated at Riverside (08:30 departure target); enforce mandatory customer call verification before Return entry at Brookside.

• Days 11–14 (Full Capacity Reached): Hillcrest new hires reach 100% capacity (40 attempts/day); Riverside hold reduction programme achieves full 50% reduction in agent holds.

• Days 15–30 (Steady-State Governance): Maintain 80–85% target utilisation across all 6 hubs.

4 Critical Early-Warning KPIs

NUMERICAL THRESHOLDS WITH MANDATED MITIGATIONS

Week 1 & 2 Early-Warning KPI Protocol

• 1. Riverside Hold Programme Ramp Lag: Agent-side holds / day at H03 (Warning: W1 > 55/day | W2 > 40/day). Action: Deploy mobile sorting unit; authorize 1h overtime.

• 2. Hillcrest New Hire Ramp-Up Speed: Attempts completed per new agent per day (Warning: W1 < 20/day | W2 < 32/day). Action: Pair with top senior agent; rezone density.

• 3. Lakeview to Greenfield Transfer Friction: Deliveries / day by transferred couriers (Warning: W1 < 22/day | W2 < 25/day). Action: Provide pre-mapped navigation; assign buddy.

• 4. Brookside Senior Return Inertia: Combined return % of agents A1045, A1046, A1047 (Warning: W1 > 12.0% | W2 > 8.0%). Action: Require manager sign-off on all returns; reassign routes.